The third druk gyalpo, Jigme Dorje Wangchuk, was enthroned in 1952 and reigned until his death in 1972, some of the most tumultuous years in Bhutan's modern history. After it invaded Tibet in 1951, China was now a neighbour, and, as a consequence, Bhutan's relations with India grew even stronger. Jigme Dorje Wangchuk encouraged Indian investment in small-scale industry and agriculture, as it became more urgent than previously to speed up the modernization of Bhutan in order to counter Chinese encroachment into Tibet's border regions.

Slavery and serfdom were abolished and the third druk gyalpo also implemented a land reform to ensure more equal distribution of wealth. A 130-member National Assembly was established in 1953 and, in 1958, the position of gongzim, held by the Dorji family, was upgraded to that of *lonchen* (prime minister). The first steps towards a constitutional monarchy had been taken. Communications were also improved to break Bhutan's isolation from the outside world. Funded by India, a road was built in 1962 connecting Phuntsholing on the Indian border with the capital Thimphu. Until then, communications with India had been carried out on the back of yaks and mules. That was how Jawaharlal Nehru, accompanied by his daughter Indira, travelled into Bhutan during their visit to the country in 1958.

Bhutan nevertheless managed to maintain reasonably amiable relations with China—until the Chinese suppression of the 1959 Tibetan uprising. At the same time, enclaves in Tibet over which Bhutan had long exercised quasi-sovereignty, were taken over by the Chinese.[29] Then came the influx of 6,000 Tibetan refugees and the subsequent deterioration of relations between India and China. Bhutan closed its border with Tibet.

During the 1962 war with India, China stated that its troops would not enter Bhutan so long as it 'maintained its neutrality'.[30] Although some Indian troops did retreat from the Tawang area through Bhutanese territory, the Chinese refrained from crossing the border with Bhutan. Were that to happen, the tiny Bhutanese army would not have been able to repel any Chinese attacks, making it imperative for India to help Bhutan strengthen its armed forces and upgrade the roads from the lowlands to the interior.

Despite the progress it had made, Bhutan was still an almost medieval society with little contact with the outside world, except for India. But education came with development and many young Bhutanese attended